

Tesla, Inc.
TSLA NASDAQ

Hold	\$371.66 ▼ 1.63%	12M Price Target \$410.00	52-Week Range \$297.38 – \$498.83	Market Cap \$1.47T
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TSLA: Pulling Back as EV Credit Cliff Looms

WHAT HAPPENED

- TSLA is down 1.6% today after a solid run from \$370 to \$380 earlier this week — classic profit-taking after a 2-3% pop with no fresh catalyst. Volume is actually LIGHT (18M vs 55M on Oct 2), which tells me this isn't panic selling, just the stock catching its breath.
- Options flow is sending mixed signals — big unusual activity in both \$370 puts AND \$372.5 calls expiring this month. Translation: traders are positioning for a BIG move either way, likely around Q3 earnings in a couple weeks. Someone's hedging, someone's gambling.

WHY IT MATTERS

Here's the real story: the \$7,500 federal EV tax credit officially expired on September 30, 2025 under the "One Big Beautiful Bill" — and we're now seeing the first full quarter without it. Tesla pulled forward a ton of demand into Q3 2025 (people racing to buy before the credit died), which likely means Q4 2025 and Q1 2026 deliveries disappoint — that's the overhang keeping this stock pinned. BUT the market isn't really pricing TSLA on cars anymore; at \$1.47T market cap, roughly 60-70% of the value is tied to Robotaxi, Optimus (the humanoid robot), and FSD (Full Self-Driving) licensing. So what you're watching for is whether Musk delivers on the Austin/Bay Area robotaxi expansion — if that scales, the EV credit loss becomes background noise.

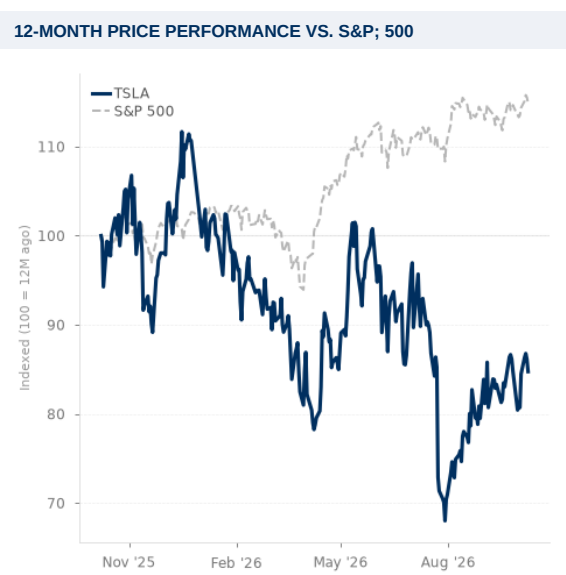
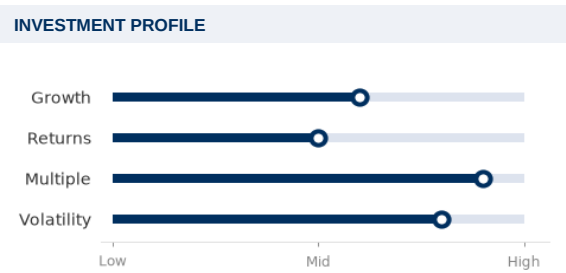
POLICY & POLITICAL WATCH

Three policy threads matter right now: (1) The EV tax credit is GONE as of Sept 30, 2025 — this is a known headwind but still working through the numbers. (2) Trump administration tariffs on Chinese battery components and rare earths are squeezing margins — Tesla sources significant battery materials from China, so any tariff escalation this fall hits gross margins directly. (3) The NHTSA (highway safety regulator) under the current administration has been notably friendlier to autonomous vehicle deployment, and there's a federal AV framework being discussed that would preempt state-by-state rules — if that moves forward, it's a MASSIVE unlock for robotaxi because Tesla wouldn't have to negotiate 50 different regulatory regimes.

IS IT EXPENSIVE?

TSLA trades at roughly 152x forward earnings — meaning you're paying \$152 for every \$1 of profit the company is expected to make next year. For comparison, Toyota trades around 10x and even Nvidia trades around 35x. That's not an "auto stock" valuation — that's a bet that Robotaxi and Optimus turn into real businesses. The valuation is only justifiable if you believe the AI/robotics story; if Tesla is "just" a car company in 2027, this stock is worth maybe \$150.

Key Data	
Price (USD)	\$371.66
12M Price Target	\$410.00
Upside / (Downside)	+10.3%
Market Cap	\$1.47T
FY2026E Revenue	\$118M
FY2027E Revenue	\$142M
FY2026E EPS	\$2.45
FY2027E EPS	\$3.60
Fwd P/E	151.7x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$400.00	\$375.00	\$345.00
6 Months	\$460.00	\$395.00	\$320.00
1 Year	\$520.00	\$410.00	\$300.00
2 Years	\$650.00	\$450.00	\$275.00
5 Years	\$900.00	\$550.00	\$250.00
10 Years	\$1500.00	\$750.00	\$200.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+2.97% today, +4% on the week) — oil is catching a bid on Middle East tension and the administration's drill-baby-drill stance. Consumer Staples ripping too, which is a defensive signal (money hiding).

COOLING OFF: Tech and discretionary (where Tesla lives) are notably absent from today's winners list — the risk-off tone is working against high-multiple names like TSLA.

ROTATION WATCH: Money is rotating OUT of high-multiple growth into energy and defensives — that's a classic late-cycle move and a direct headwind for Tesla's valuation.

RELATED PLAY: If you believe the Robotaxi thesis, the second-order winners are LIDAR/sensor companies, NVDA (chips powering FSD training), and even uranium/power generation names — AI compute needs electricity, and Tesla's Dojo supercomputer is a massive power sink.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon Mobil): Energy sector leader riding the oil bid and friendly regulatory environment for fossil fuels.
- RIVN (Rivian): Actually catching a bid despite the EV credit loss — because expectations were so low, any delivery beat sends it ripping.

TSLA CONTEXT: Tesla is LAGGING the broad market today while energy rips — that's the market telling you that in a rotation environment, expensive growth stocks are the first to be sold. TSLA needs an AI/robotaxi catalyst to break out of this range; otherwise it drifts with the Nasdaq.

WHAT I'D DO WITH THIS STOCK

6/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$340-355 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Robotaxi rollout delays past 2027 or auto gross margins fall below 15%

Hedging: Buy protective puts or pair with a legacy auto short (F/GM) if betting on EV demand collapse